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Microsoft

Second Quarter Fiscal Year 2026 Outlook

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FY26 Q2 Outlook

Foreign currency impact	• Increase to total company revenue growth of 2 points, with 2 points in Productivity and Business Processes and Intelligent Cloud, and 1 point in More Personal Computing • Increase to COGS growth and Opex growth of 1 point
Total Company	• Revenue of $79.5 to $80.6 billion
Productivity and Business Processes	• Revenue of $33.3 to $33.6 billion
Intelligent Cloud	• Revenue of $32.25 to $32.55 billion
More Personal Computing	• Revenue of $13.95 to $14.45 billion
Cost of revenue	• COGS of $26.35 to $26.55 billion
Operating expenses	• Expenses of $17.3 to $17.4 billion
Other income and expense	• Expected to be roughly $100 million excluding any impact from our investments in OpenAI
Effective tax rate	• Approximately 19%

FY26 Q2 Outlook Detail

Commercial Business

Commercial bookings	Healthy growth in the core business on a low expiry base when adjusting for OpenAI contracts in the prior year
Microsoft Cloud gross margin percentage	Roughly 66%

Productivity and Business Processes

Microsoft 365 Commercial cloud revenue	Growth of 13% to 14% in constant currency
Microsoft 365 Commercial products revenue	Growth in low- to mid-single digits
Microsoft 365 Consumer cloud revenue	Growth in mid-twenties
LinkedIn revenue	Growth of approximately 10%
Dynamics 365 revenue	Growth in mid- to high-teens

Intelligent Cloud

Azure and other cloud services revenue	Growth of approximately 37% in constant currency
Server products revenue	Decline in low- to mid-single digits

More Personal Computing

Windows OEM and Devices revenue	Decline in mid-single digits
Search and news advertising revenue (ex TAC)	Growth in low-double digits
Xbox content and services revenue	Decline in low- to mid-single digits



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